

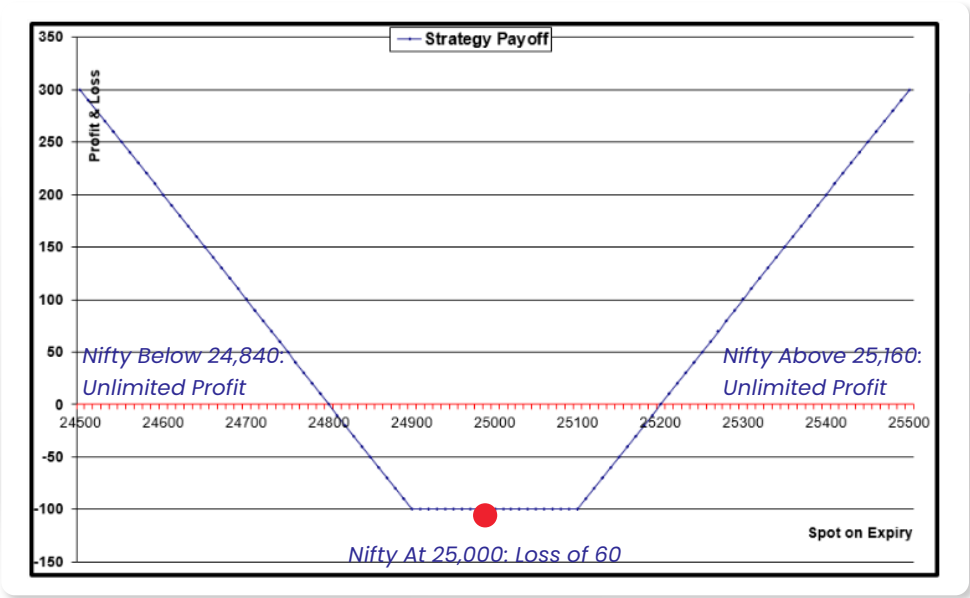
Let us calculate the cost and rewards.

Premium paid = ₹60
Profits if Nifty is:
Higher than: $25,100 + 60 = 25,160$
Lower than: $24,900 - 60 = 24,840$

Let us see what happens in different scenarios.

Particulars	Nifty at 25,000	Nifty above 25,160	Nifty below 24,840
Outcome of buying Nifty 25,100 call	Premium of ₹20 lost	Gain = Nifty – 25,100 – ₹20	Premium of ₹20 lost
Outcome of buying Nifty 24,900 put	Premium of ₹40 lost	Premium of ₹40 lost	Gain = 24,900 – Nifty – ₹40
Net outcome	Loss of ₹60	Unlimited profit	Unlimited profit

Let us visualise these pay-offs.



Using the appropriate strategies based on the market condition can help you maximise your gains and cut your losses. It will require vigilance and willingness willing to show flexibility as the market changes.